



Structuring & Restructuring

*A Sequenced Briefing — the Global Minimum Tax
and the end of the rate lever*

GLOBAL • CLIENT LENS • UAE • SINGAPORE • GCC • OFFSHORE HUBS • MID-2026

The Structure, in One Picture

Why smart structuring quietly lifted value for years — and why that lever just broke.

Why this is on your desk.

For years, smart structuring quietly lowered the tax that large groups actually paid — and lifted their value with it. That lever has just been repriced, and the change has landed right inside the hubs — the UAE, Singapore, the Gulf — where many of these structures live.

WHO IT'S FOR

Founders, CEOs, CFOs and top management weighing a cross-border move, a raise or an exit.

SCOPE

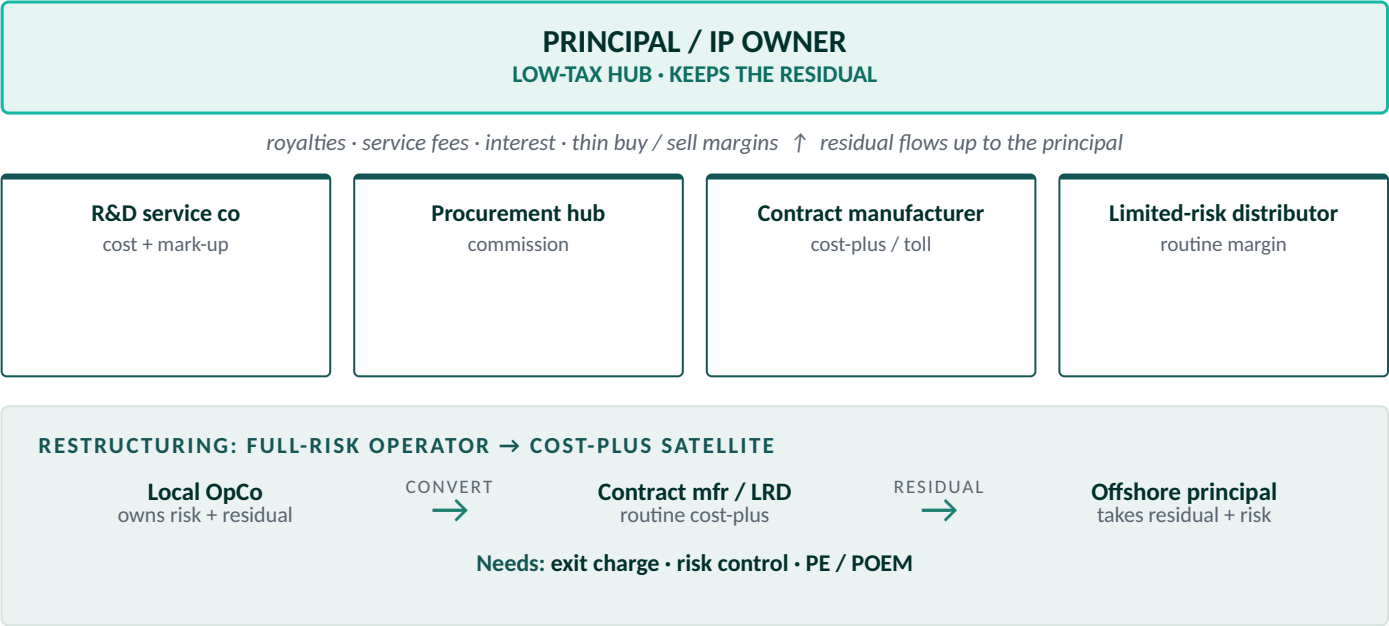
Global / OECD framework, framed for internationally-based clients. Verified to mid-2026.

HOW TO READ IT

Diagram → chart → tables → note → what it means → view. Same idea, rising depth.

NOT

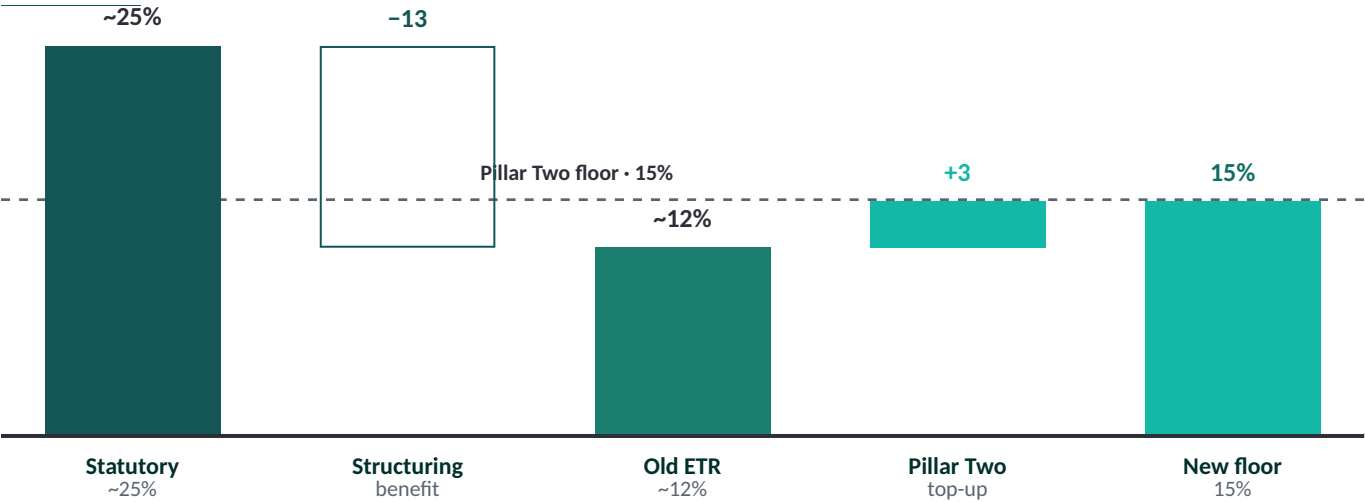
Investment, legal or tax advice; figures in the chart are illustrative.



The principal-company model. *Fragment the value chain, keep each operating company on a routine return, and let the residual collect in a low-tax principal — valid only if it genuinely controls the risk.*

The Rate Lever & the Four Levers

The global minimum tax claws back most of what a sub-15% structure used to save.



15%

new global minimum ETR — local, parent & backstop rules all switched on

€750m

group revenue that pulls you in-scope

Jan 2026

15% tax now live; US groups carved out under the side-by-side

Table A — the four levers, the cap that bites, and how durable each is

LEVER	THE PLAY	THE CAP THAT BITES	STATUS
Intra-group services	Fees up to a low-tax hub	Benefit test + 5% LVAIGS cap; WHT	Substance-led
Debt / thin cap	Related-party interest strip	30% EBITDA cap (ATAD / Action 4)	Capped
IP / DEMPE	Park IP income offshore	DEMPE + HTVI + exit charge + Pillar Two	Compressed
Restructuring (CM / LRD)	Cap local profit, export residual	Ch IX exit charge + control-of-risk + PE / POEM	Substance-led
Treaty / conduit	Route through favourable treaties	PPT; beneficial ownership (Danish cases)	Largely closed
Haven rate-shopping	Book profit in a zero-tax hub	Pillar Two 15% floor; substance; CRS	Largely closed

The Deal Lens — and What It Means for You

In a transaction, old structuring is a price conversation — exposure, impact, mitigant.

EXPOSURE IN THE TARGET	PRICE IMPACT	MITIGANT
Cash-box IP (no DEMPE)	Normalise ETR up → lower FCF → lower equity value	Price chip + TP indemnity; fix pre-close
Debt > 30% EBITDA	Interest disallowed → higher cash tax	Model haircut; refinance
Conversion, no exit charge	Historic exit-charge + agent-PE reserve	Escrow / specific indemnity; APA
Undeclared PE	Back-tax, penalties, WHT across open years	Reserve; disclosure; warranty
Conduit holdco	WHT leakage on future distributions	Restructure holdco pre-close; PPT memo
Group crosses €750m	Pillar Two top-up + GIR compliance post-close	Combined-group model; SPA covenant

WHAT IT MEANS, BY SEAT

Founders & CEOs

Past €750m your real tax rate is effectively fixed at 15%. Build on genuine substance, not a good address — investors and buyers will test it.

CFOs & finance

The low rate you model may not hold. Check whether you're in scope, know where the top-up now lands, and get the minimum-tax filings ready.

Dealmakers & investors

A cash-box IP owner or a conversion with no exit charge is a chip on the price or an indemnity — diligence it, don't inherit it.

Where the Floor Has Landed

The 15% floor now sits inside the very hubs these structures were built around.

JURISDICTION	HEADLINE REGIME	THE CATCH FOR IN-SCOPE (€750M+) GROUPS
UAE	9% CT; QFZP 0% on qualifying income; DMTT 15% from FY2025	QFZP 0% no longer shields a large group — free-zone income tops up to 15% (DMTT). No IIR / UTPR yet.
Singapore	MTT (IIR) + Domestic Top-up Tax, 15%, from FY2025 (MNE Minimum Tax Act 2024)	Low-taxed SG profit tops up locally (DTT); low-taxed foreign profit caught by MTT. Register ~Jun 2026.
Qatar	IIR + DMTT 15% from 1 Jan 2025 (Law 22/2024)	Free-zone / incentive income tops up to 15% for large groups.
Bahrain	DMTT 15% from 1 Jan 2025 (first Gulf mover)	0% headline no longer helps in-scope groups.
KSA / Kuwait	KSA ~20% CIT + Zakat; Kuwait Pillar Two developing	KSA rate already ≥15% — little rate top-up, but substance still tested. Kuwait DMTT emerging.
Ireland / NL / Lux	Low-rate / participation / IP-box hubs; all apply Pillar Two (QDMTT + IIR)	Classic IP and holding hubs now top up to 15%; modified-nexus and substance required.
BVI / Cayman / Bermuda	No / low CIT; economic-substance regimes; Bermuda 15% CIT from 2025	No dividend from secrecy — ES laws bite; the top-up is collected via a QDMTT / IIR elsewhere.

The free-zone / no-tax advantage that anchored many structures is now explicitly topped up at **€750m**. Below that threshold it still holds.

In Plain Terms — and Our View

It's an old trick, and a simple one. Spread the business across a handful of entities, leave the operating companies on thin routine margins, and let the profit pool in a low-tax principal at the top. Done well, it quietly lifted after-tax margins for years — and with them, valuations.

Then two things broke it. The 2015 BEPS reforms held that a contract no longer settles anything — the entity that runs the risk and does the work earns the profit, leaving a letterbox owner with no staff entitled to almost nothing. And the global minimum tax dropped a 15% floor under every group above €750m.

So the lever hasn't gone away. It just only pays where there's something real underneath it — people, decisions and genuine risk sitting where the profit sits. Everywhere else it has quietly turned from an edge into a liability.

OUR VIEW — THE CALL

- For the big groups, the rate lever sits on the **risk side** of the ledger now, not the return side — everything else is just a chip on the price.
- Below **€750m** — mid-caps, private and family groups — there is still real room to run, and that is where the planning conversation is most productive.
- For **UAE, Singapore & Gulf clients**: free-zone and 0% advantages survive only below the threshold. At scale, the QFZP or hub rate tops up to 15% at home, not abroad.

WHAT TO WATCH — Pillar One Amount A, the DST and tariff cross-fire, further QDMTT adoptions, the US side-by-side carve-out, and take-up of the simplified Amount B return.



About YD Advisory

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